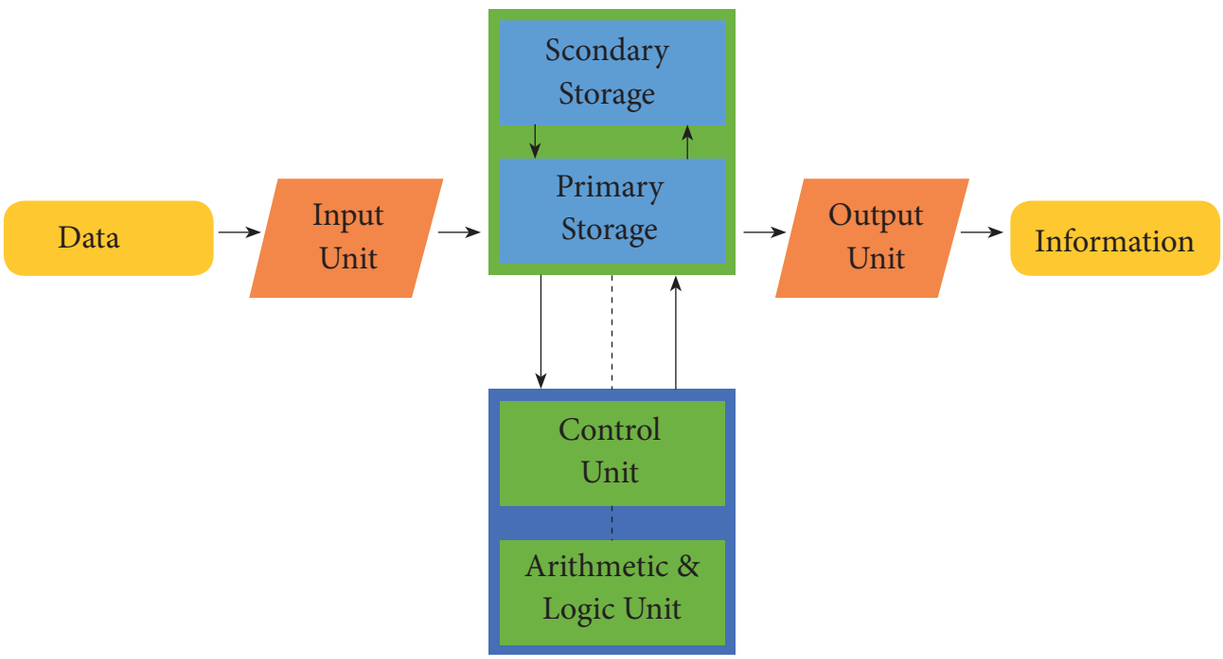
14.1 Introduction to computers

Student activity

Think: A trader has more than 10 years of accounting records. He finds it difficult to keep them all, because it requires a large store room. Is there any way to overcome this difficulty?

A computer can be described as an electronic device designed to accept raw data as input, processes them and produces meaningful information as output. It has the ability to perform arithmetic and logical operations as per given set of instructions called program. Today, computers are used all over the world in several areas for different purposes.

A computer system has mainly three components namely, input unit, central processing unit and output unit. These components are the building blocks of a computer and define its architecture. The relationship among these components is established by the following diagram:



CPU (Central Processing Unit)

Computers are nowadays widely used in scientific research, education, business, accounting, transportation, communication, banking, defence, etc. With the expansion of business, the number of transactions has increased tremendously and as a result in accounting the manual method of keeping and maintaining records have become unmanageable. The manual method of accounting is being gradually replaced with the introduction of computers in business.

14.2 Computerised Accounting System (CAS)

Computerised accounting system refers to the system of maintaining accounts using computers. It involves the processing of accounting transactions through the use of hardware and software in order to keep and produce accounting records and reports. Computerised

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